COD Agent for Magic Checkout

Razorpay AI x PM Build Challenge, Track 2: Recover and Grow with AI | Meghna, ISB

Not a new product, but Magic Checkout's COD settings, made adaptive: every cash-on-delivery order gets its own decision, within the merchant's rules, and the system learns from what comes back.

Who we target, and why them

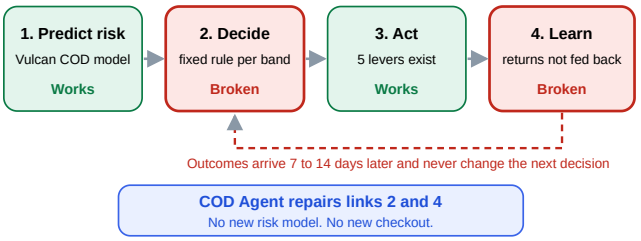
The merchant: SME D2C brands on Shopify or WooCommerce using Magic Checkout. ₹20 lakh to ₹2 crore GMV a month, 50%+ orders on COD, a team of 3 to 10, and no one who owns payments or operations.

- **The pain is largest here.** COD drives 50 to 70% of Indian D2C orders. COD orders return at 28 to 35%, against 4 to 8% for prepaid. Returns can eat 8 to 15% of revenue.
- **No one is watching.** Large brands have ops teams and custom rules. SMEs set Magic Checkout once and never revisit it.
- **Razorpay's edge is sharpest here.** A small brand's own history is too thin to learn from. Vulcan sees return patterns across thousands of merchants.
- **They are already Razorpay customers.** Magic Checkout is built for D2C, and small businesses are about 80% of Razorpay's merchants.

Current workaround: a team member calls doubtful COD orders by hand, about 2 hours a day; every medium-risk order gets the same ₹50 prepaid link; the founder edits a pincode block list in a spreadsheet each week.

Persona, Neha (Jaipur ethnic wear): 3,000 orders a month at ₹1,200, 60% COD, 28% of COD returned. That is **504 returns a month: ₹1.01 lakh in direct cost and ₹6.05 lakh of GMV never realised.**

The broken chain in today's product



Magic Checkout's levers today: block COD, partial COD, a prepaid discount over WhatsApp, a COD fee and manual review. Each is **set once, for everyone**. Every order in a risk band gets the same treatment, and no one checks whether a ₹50 discount paid for itself.

What I built, and what it changes

Built: a clickable prototype inside Magic Checkout (set-up, per-order decisions, RAY approvals on WhatsApp, results), with a working profit model behind every decision. **For:** founders like Neha. **Why it matters:** it turns a static setting into recovered margin, with no new integration.

	Magic Checkout today	With COD Agent
Decision	One rule per risk band	One decision per order, by expected profit across 5 levers
Discount	₹50 to every medium-risk order	₹0 to ₹40, only where it converts
Learning	Founder edits a pincode list by hand	Delivery outcomes update the agent
Control	A settings page	Plain-English rules, approvals on WhatsApp via RAY
Proof	None	10% of orders kept on old settings

Why AI, not a rule: a rule applies one threshold to everyone. The agent learns how this merchant's buyers respond to each lever (₹20 moved repeat UPI payers almost as well as ₹40), reads replies such as "haan bhej do, gali no. 4 likhna" and fixes the address, and turns plain English into hard limits.

Key product and AI decisions

- **AI decides, rules bound it:** Vulcan's risk score is the input; the agent ranks 5 levers by expected profit; a learning loop (contextual bandit) updates response rates per merchant; an LLM reads customer replies and turns plain-English rules into limits.
- **Merchant sets the limits:** ₹40 maximum discount, ₹3,000 daily budget, never block a buyer with 2+ delivered orders, one WhatsApp per order.
- **Orders run on their own; policy waits for a yes,** confirmed with a secure tap. Every action and override is logged.
- **Fails safe:** pauses itself if checkout conversion falls 2 points below the comparison group. One-tap pause.
- **Left out on purpose:** a new risk model, courier selection, failed-delivery calls, post-delivery returns, marketplace orders. Real problems, but not the decision that costs Neha the most.

Success metrics (4-week pilot, agent vs comparison group)

₹37,300	21.4%	49%	₹6.20
profit per 100 orders, vs ₹33,800 (+10.4%)	COD return rate, vs 28.1%	orders paid upfront, vs 40%	discount per order, vs ₹14.80

North star: profit from delivered orders per 100 orders, about ₹1.05 lakh a month for Neha. **Guardrail:** checkout conversion within 2 points of the comparison group (3.9% vs 4.0%).

COD return rate by week



What I would test next

- **Live pilot:** 20 Magic Checkout merchants, 4 weeks, real Vulcan scores, 10% comparison group.
- **Discount ladder:** ₹0, ₹20 and ₹40 by buyer type, to find the cheapest amount that converts.
- **Partial COD in Tier-3 pincodes:** does a ₹99 advance cost more sales than it saves?
- **Approve vs auto mode:** how many merchants move to auto, and whether outcomes change.

Assumptions: all data is synthetic. 45% contribution margin, ₹200 per return, 18% drop-off on partial COD, diminishing returns on discounts. **Sources:** Razorpay docs (Magic Checkout COD settings, convert COD to prepaid), Razorpay blog (Agent Studio, Vulcan, RAY on WhatsApp), Inc42 (merchant AI agents, Sep 2026), D2C return benchmarks (Bot.space, ShipPrime, eChai). Prototype and demo video submitted separately.